limited interest and an unenforceable claim. Our answer must be that, if the control device can be developed properly, it would provide an adequate remedy for both bondholders and preferred stockholders. In that case the basic contractual advantage of bonds over preferred shares would vanish, except to the extent of the right of bonds to repayment at a fixed date. We repeat, in conclusion, the point made in our discussion of the theory of preferred stocks (Chap. 14) that the contractual disadvantage of preferred shares is, at bottom, not so much a matter of inherent legal rights as it is of practical corporate procedure and of the investor's own shortcomings.

Tendency of Securities of Insolvent Companies to Sell Below Their Fair Value. Some additional aspects of the corporate-reorganization question deserve attention. The first relates to the market action of securities of insolvent companies. Receiverships in the past have been productive generally of a vast and pervasive uncertainty, which threatens extinction to the stockholders but fails to promise anything specific to the bondholders. As a result there has been a tendency for the securities of companies in receivership to sell below their fair value in the aggregate; and also a tendency for illogical relationships to be established between the price of a bond issue in default and the price of the junior stock issues.

Examples: The Fisk Rubber Company case is an excellent example of the former point; the Studebaker Corporation situation in September 1933 illustrates the latter.

Market Value of Fisk Rubber Securities in April 1932

$7,600,000 First 8s @ 16	$ 1,200,000
8,200,000 Debenture 5½s @ 11	900,000
Stock issues	Nominal
Total market value of the company	$ 2,100,000

Balance Sheet, June 30, 1932

Cash	$ 7,687,000
Receivables (less reserve of $1,425,000)	4,838,000
Inventories (at lower of cost or market)	3,216,000
	$15,741,000
Accounts Payable	363,000
Net current assets	$15,378,000
Fixed assets (less $8,400,000 depreciation)	23,350,000